DIGITALAIKART

THE GOLD & SILVER BUYING PLAYBOOK

India 2026-27 Edition

Every route, every cost, every tax - verified
for Dhanteras 2026 and the year ahead

Hallmarking . Making charges . ETFs . Digital gold . Tax
Old-gold exchange . Scams . Selling . Worked budgets

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Contents

This playbook has 20 numbered parts. Each one answers a question you will actually ask before you buy, hold or sell gold and silver in India this festive season and beyond.

Introduction - the strangest gold market in a decade
1. The 2026 gold and silver market in six numbers
2. Gold vs silver - what you are really buying
3. The seven ways to buy gold in India
4. Match the route to your purpose - the decision table
5. Hallmarking decoded - HUID, carats and your 2x right
6. How to read a gold bill - the six line items
7. Making charges, wastage and resale deductions
8. Buying jewellery safely - the counter script and 12 checks
9. Old-gold exchange - the maths and the tax trap
10. Digital gold - the SEBI warning and the honest costs
11. Gold ETFs and funds - how to buy and what they cost
12. Silver - the volatile twin
13. Tax on gold and silver for FY 2026-27
14. The 2026 rule changes that moved the goalposts
15. Scams and traps - ten red flags
16. Selling gold and silver - where and at what cost
17. The Dhanteras 2026 decision framework
18. Three worked budgets - Rs. 50,000, Rs. 2 lakh, Rs. 10 lakh
19. The 30-minute buyer's checklist and quick card
20. Your questions answered
Appendix A - Glossary of gold and silver terms
Appendix B - Twelve myths, corrected
Sources

Introduction - the strangest gold market in a decade

The bottom line
In 2026 gold fell about 26% from its January record, the government more than doubled the import duty on gold and silver, and Sovereign Gold Bonds stopped being issued. Each of those changes moves money into or out of your pocket depending on how you buy. This playbook picks the cheapest, safest route for whatever you are actually trying to do.

Most gold advice online was written for a market that no longer exists. It tells you to 'buy sovereign gold bonds for the tax-free return' when the scheme has been closed since February 2024. It quotes an import duty of 6% when the duty has been 15% since 13 May 2026. It treats 'digital gold' as a safe alternative when India's market regulator has publicly warned that it is not a regulated security.

Here is the 2026 reality in plain terms. Twenty-four-carat gold was near Rs. 1.8 lakh per 10 grams in January 2026. By early October it was around Rs. 1.48 to Rs. 1.50 lakh - a fall of roughly a quarter from the peak, but still about a quarter higher than at Dhanteras 2025. Silver ran even harder and then crashed harder: it spiked to a record near Rs. 4.08 lakh per kilogram in late January and was back near Rs. 2.2 lakh per kilogram by October. Families have not stopped buying. They have changed how they buy - lighter jewellery, more coins and bars, more exchange of old gold, and a marked shift into gold ETFs.

That shift is the reason this playbook exists. When gold is this expensive and this volatile, the difference between the best and worst way to buy the same metal is enormous - often 10% to 25% of your money, lost before the price even moves. A person who buys 22-carat jewellery for a wedding and a person who buys a gold ETF for their savings are making two completely different financial decisions. This playbook separates them, prices them, and tells you which one fits your goal.

It covers jewellery, coins and bars, gold ETFs, gold mutual funds, digital gold, the closed Sovereign Gold Bond scheme, the Electronic Gold Receipt route, and the short-term bank deposit that is all that remains of the Gold Monetisation Scheme. It decodes hallmarking and the HUID, shows you how to read a gold bill line by line, and explains exactly how gold and silver are taxed for FY 2026-27.

How to use this playbook
If you are buying this Dhanteras, go straight to Part 17 for the decision framework and Part 19 for the checklist. If you are investing, read Parts 3, 4 and 11. If you are buying jewellery, read Parts 5 to 9 before you walk into a showroom. If you are selling, read Part 16 and the tax rules in Part 13.

1. The 2026 gold and silver market in six numbers

Before any advice, the numbers that define this season. Every figure below is drawn from official or primary sources - the World Gold Council, IBJA benchmark rates, the BIS, and the customs notifications issued by the Ministry of Finance.

Number	What it is	Why it matters to you
Rs. 1.48-1.50 lakh	24-carat (999) gold per 10 g, early October 2026 (IBJA)	Down about 26% from the January 2026 record, but still far above last Dhanteras.
Rs. 1.35-1.37 lakh	22-carat (916) gold per 10 g, early October 2026 (IBJA)	The purity most Indian jewellery is sold in. Use this, not the 24K number, to sanity-check a bill.
Rs. 2.2 lakh	Silver (999) per kilogram, early October 2026 (IBJA)	Roughly half its January 2026 record. Silver is far more volatile than gold.
15%	Effective import duty on gold and silver since 13 May 2026	A rise from 6%. It is baked into every domestic price you see.
3% (+5%)	GST on gold and silver (plus 5% on jewellery making charges)	Added at the counter on top of the metal price, never negotiable.
Zero	New Sovereign Gold Bonds issued since February 2024	The old 'tax-free gold' route is closed to new buyers. You must choose another.

Where to check today's rate

- IBJA publishes the benchmark daily rate for each purity - treat this as your reference point.
- Most banks and large jewellers publish a daily board rate; compare it with the IBJA benchmark.
- For ETFs, the exchange price plus the fund's iNAV is the number that matters, not a jeweller's board.
- Rates differ by city, seller and time of day - so 'the gold rate today' is never one single number.

One line to remember
Gold fell in 2026, but you still pay 15% duty and 3% GST on top of the metal, and the old tax-free bond is gone. Cheap-looking gold is rarely cheap once the extras are added.

The direction of prices is uncertain, and nobody - including this playbook - can tell you whether gold will be higher or lower next Dhanteras. What is not uncertain is the cost structure: the duty, the GST, the making charges and the resale deductions are known, fixed and avoidable. This playbook focuses on the part you can control.

2. Gold vs silver - what you are really buying

Gold and silver are often sold as twins. They are not. Understanding the difference decides how much of each you should own, and in what form.

Gold is a monetary metal

Gold's price is driven mostly by its role as a store of value: central-bank buying, currency weakness, interest rates and fear. India is one of the world's two largest consumers, and wedding and festive demand give the domestic price a floor that global markets do not have. That makes gold relatively steady - it can fall, but it rarely halves in months.

Silver is half industrial

Silver is a monetary metal and an industrial one at the same time. Solar panels, electronics and electric vehicles consume it, so its price tracks industrial demand as much as fear. The result is violent moves in both directions. In 2026 silver ran up more than 170% over a year and then gave back more than half of that peak within months. For a small part of a portfolio that is exciting; as a place to park wedding money it is dangerous.

	Gold	Silver
Main drivers	Safe-haven and central-bank demand, currency, rates	Industrial demand (solar, EV, electronics) plus fear
Typical volatility	Lower	Much higher - moves of 5-10% in a week are normal
2026 record	About Rs. 1.8 lakh per 10 g (January)	About Rs. 4.08 lakh per kg (January)
October 2026 level	About Rs. 1.48-1.50 lakh per 10 g	About Rs. 2.2 lakh per kg
Best form to hold	Jewellery, coins/bars, ETF, digital gold	Coins/bars, silver ETF (there is no everyday silver jewellery market)
Hallmarking	Mandatory in 392 districts (HUID)	Voluntary HUID hallmarking since 1 Sep 2025

The gold-to-silver ratio
When silver is cheap relative to gold, the ratio (gold price divided by silver price) is high; when silver is expensive, it is low. Silver's 2026 spike pushed the ratio down sharply, which historically signals that silver has run ahead of gold. A simple, honest rule: keep silver to a small slice - treat it as a satellite, not a core holding.

3. The seven ways to buy gold in India

There are seven practical routes. They differ in cost, purity certainty, regulation and liquidity. Read all seven before you choose; the 'obvious' route is usually the most expensive one.

3.1 Jewellery

The default for most families. You pay the metal price, a making charge, and GST - and you lose part of the making charge the moment you sell. Buy it when your goal is to wear or gift it, not to invest. Jewellery in the 16-22 carat range is where demand has shifted as prices rose.

3.2 Coins and bars

Investment gold in its simplest physical form. Coins are usually 24-carat (999 or 995). Making or minting charges are far lower than on jewellery (typically a few percent), but you still pay 3% GST and you carry the storage and security risk. Buy hallmarked, keep the bill, and prefer sealed, tamper-proof packs.

3.3 Gold ETFs

Exchange-traded funds that hold physical gold in vaults and trade on the stock exchange like shares. Each unit usually represents about one gram. You need a demat and trading account. Costs are low (a small annual expense ratio, no making charge, no locker), they are SEBI-regulated, and you can sell in seconds during market hours. This is the cleanest pure-investment route for anyone who already has a demat account.

3.4 Gold mutual funds (fund of funds)

A mutual-fund wrapper that invests in gold ETFs. The advantage: no demat account needed, and you can run a monthly SIP from as little as a few hundred rupees. The trade-off: two layers of cost (the fund's, plus the underlying ETF's). Good for disciplined, small, regular investing.

3.5 Digital gold

Gold bought in fractions through apps - a payment app, a jeweller or an investment platform - and held in a vault on your behalf. It is easy and needs no demat account. But it is not a regulated security: SEBI has publicly cautioned that digital gold is neither a notified security nor a regulated commodity derivative, so the usual investor protections do not apply. Read Part 10 before you use it.

3.6 Sovereign Gold Bonds (closed) and Electronic Gold Receipts

Sovereign Gold Bonds were the best gold instrument India ever offered - gold exposure plus 2.5% interest and, historically, tax-free redemption at maturity. The government has issued no new tranche since February 2024, so new buyers cannot use them. Existing bonds still trade on the exchanges, but Budget 2026 changed their tax treatment for secondary-market buyers. Electronic Gold Receipts (EGRs) are the modern, SEBI-regulated alternative: they represent vaulted physical gold, trade on exchanges, and can be converted to physical gold.

3.7 Gold Monetisation Scheme (short-term deposits only)

The Gold Monetisation Scheme let you deposit idle gold and earn interest. The medium- and long-term government deposits were discontinued on 26 March 2025. What remains is the Short Term Bank Deposit - 1 to 3 years, minimum 10 grams of raw gold, interest of roughly 0.5% to 0.6% a year, at each bank's discretion. Useful only if you are holding idle gold you want to earn a little on without selling.

The seven routes side by side

Route	Cost above the metal	Regulated?	Sell-back	Best for
22K jewellery	Making 8-25% + 3% GST (+5% on making)	BIS hallmark	Hard; deduction applies	Wearing, gifting, weddings
24K coin / bar	Small minting + 3% GST	BIS-refinery hallmark	Easy at a dealer	Small gifts, holding metal
Gold ETF	Low expense ratio, no GST	SEBI	Seconds, on exchange	Long-term investing
Gold fund (FoF)	Fund fee + ETF fee, no GST	SEBI	Same day, at NAV	SIP investing, no demat
Digital gold	2-5% spread + 3% GST	Not as a security	Immediate, on platform	Small, flexible top-ups
EGR	Brokerage, no GST	SEBI	On exchange	Vaulted gold, convertible
GMS short-term deposit	None to buy; low interest earned	RBI scheme	At maturity	Idle gold you already own

4. Match the route to your purpose - the decision table

Stop asking 'what is the best way to buy gold'. Ask 'what am I buying it for'. The purpose decides the route. Use this table before you spend a rupee.

Your purpose	Best route	Avoid	Why
Wear it, gift it, wedding	Hallmarked 22K jewellery	24K jewellery	24K is too soft for daily wear and loses more on resale
Long-term savings, no locker	Gold ETF or gold fund SIP	Jewellery	No making charge, no storage risk, easy to sell
Small monthly habit	Gold fund SIP or digital gold (small)	One big lump purchase	Averages the price; you never time the top
A lump sum, safety first	Gold ETF / EGR	Digital gold	SEBI-regulated with clear ownership and liquidity
Puja or a small gift coin	Hallmarked 24K coin (1-5 g)	Unsealed coins	Hallmarked and sealed is verifiable and re-sellable
Idle old gold at home	Exchange for new, or short-term deposit	Selling to a random buyer	Exchange and deposits keep you inside the formal system
A pure speculative bet	Silver ETF (small slice)	Heavy physical silver	Liquid, cheap to hold, no storage of a bulky metal

The single biggest mistake
Buying jewellery as an investment and then being disappointed by the resale price. Jewellery is a purchase, not a portfolio. If your goal is growth, buy the ETF or the fund; if your goal is to wear it, buy the jewellery and accept the making charge as the price of beauty.

5. Hallmarking decoded - HUID, carats and your 2x right

Hallmarking is the government's guarantee that the purity stamped on a piece is true. It is mandatory for gold jewellery and artefacts in 392 districts across India as of the latest amendment (August 2026), under the Bureau of Indian Standards Act, 2016. If you learn only one part of this playbook, learn this one - it is your protection against being sold 18-carat as 22-carat.

What a hallmark shows

Since July 2021 a gold hallmark has three components: the BIS Standard Mark (the logo), the purity in carat and fineness, and a six-digit alphanumeric HUID. The HUID is the piece's unique ID. You can verify it yourself, in the shop, using the free BIS Care app's 'Verify HUID' feature - it shows the jeweller's registration number, the article type and its weight.

The seven carats that are hallmarked

Carat	Fineness (parts per thousand)	Common use
24K (24KS)	995	Coins, bars, investment gold
23K	958	Traditional heavy jewellery
22K	916	The standard for Indian gold jewellery
20K	833	Some regional jewellery
18K	750	Diamond-studded and modern jewellery
14K	585	Light, everyday and export jewellery
9K	375	Low-carat fashion jewellery

Your right if the purity is short

If a hallmarked article turns out to be below its declared purity, BIS Rules, 2018 provide for compensation of twice the value of the purity shortfall, plus testing charges. That is a real, enforceable remedy - which is exactly why the hallmark matters.

The exemptions - where you are NOT protected

- Articles weighing under 2 grams are exempt from mandatory hallmarking.
- Kundan, Polki and Jadau jewellery are exempt.
- Gold bullion, bars and coins are outside the jewellery order; they are hallmarked only by BIS-licensed refineries and mints.
- Jewellers with annual turnover up to Rs. 40 lakh are outside the mandatory scheme.
- Gold thread, gold watches and fountain pens are exempt.

What this means at the counter
For anything above 2 grams that is not Kundan/Polki/Jadau, insist on the full hallmark and check the HUID in the BIS Care app before you pay. If the piece is exempt, ask for a written purity declaration on the bill instead.

6. How to read a gold bill - the six line items

A gold bill is not one number; it is a stack of charges. Understanding each line is how you compare two shops honestly. Here is a typical bill for 10 grams of 22-carat jewellery, using an early-October 2026 benchmark rate of about Rs. 13,570 per gram for 916 gold.

Line on the bill	How it is worked out	Example (10 g, 22K)
Metal value	Net weight x the day's rate for that purity	Rs. 1,35,694
Making charge	A percentage of metal value, or a flat rate per gram	At 12%: Rs. 16,283
Wastage	A charge for metal lost in crafting - push to zero	Rs. 0 (negotiated)
Sub-total	Metal + making + wastage	Rs. 1,51,977
GST	3% on the metal value, plus 5% on the making charge	Rs. 4,071 + Rs. 814 = Rs. 4,885
Total payable	Sub-total + GST	About Rs. 1,56,862

Note that the hallmarking charge (currently Rs. 75 per gold article) is usually absorbed by the jeweller or shown separately. Either way, it is small next to the making charge - which is the line you should actually negotiate.

The four questions to ask before you pay

1. What is the per-gram rate for this exact purity, before making charges?
2. What is the making charge - a percentage or a flat per-gram rate? Can it be reduced?
3. Is wastage being charged, and why? (It should be nil on modern machine-made pieces.)
4. Will you write the net weight, purity and hallmarking charge on the bill? (They are required to.)

Rule of thumb
On 22-carat jewellery, a fair all-in total should be roughly the metal value plus 10-15% - and no more. If the quote is 25% or 30% above the metal value, you are paying for the shop, not the gold.

7. Making charges, wastage and resale deductions

This is where most of the money quietly disappears. None of these charges buys you more gold; they buy you the service of turning gold into a shape. Know them, and you can cut them.

Making charges

Making charges on Indian jewellery typically run from about 8% to 25% of the metal value, depending on the design and the shop. Machine-made and light-weight pieces sit at the low end; intricate handcrafted sets sit at the high end. A flat per-gram rate is often cheaper than a percentage on high-value gold. On diamond or stone-studded pieces, ask for the gold making charge separately from the stone price.

Wastage

Older shops added a 'wastage' percentage to cover metal lost during crafting. Modern manufacturing does not lose much metal, and organised jewellers have largely dropped the charge. If a shop insists on wastage, treat it as a negotiating lever, not a fact.

The resale deduction - the real cost of jewellery

When you sell jewellery back, the buyer applies a deduction for testing, refining and purity - commonly a percentage off the prevailing rate, and your making charge is never returned. That is why jewellery should be bought to wear, not to grow money. Coins and bars have a much smaller buy-sell spread.

Charge	Typical range	Recovered on resale?
Making charge	8-25% of metal value	No
Wastage	0% (insist) to a few %	No
GST	3% on metal, 5% on making	No
Hallmarking	About Rs. 75 per article	No
Resale deduction	A few % off the rate when you sell	It is the cost of selling

How to cut the bill
Buy lighter designs, choose a flat per-gram making charge over a percentage, refuse wastage, and buy coins or an ETF for the part of your money that is meant to grow. Together these can save 10-20% of what you would otherwise spend for the same amount of gold.

8. Buying jewellery safely - the counter script and 12 checks

A jewellery purchase is a negotiation wrapped in a ritual. Walk in prepared and you will pay less and get better metal. Here is a script and a checklist you can carry on your phone.

The counter script

- Start with the rate: 'What is your per-gram rate for 916 today, before making?' - this anchors the talk on metal, not the design.
- Then the making: 'What is the making charge - percentage or flat per gram? What is the best you can do on it?'
- Then wastage: 'Is there any wastage on this piece? I would like it at zero.'
- Then the bill: 'Please show net weight, purity, making charge and hallmarking charge separately.'
- Then the hallmark: 'Let me verify the HUID on the BIS Care app before I pay.'

The 12-point check before you pay

1. The shop displays a BIS registration certificate and the 'Hallmarked Jewellery Available for Sale' sign.
2. Every piece above 2 grams carries the BIS mark, the carat/fineness, and a six-digit HUID.
3. You verified at least the main piece's HUID in the BIS Care app.
4. The bill shows net weight (excluding stones), purity in carat and fineness, and the hallmarking charge.
5. The making charge is stated as a percentage or a flat rate - not hidden in the design price.
6. Wastage is nil or explained and agreed in writing.
7. The rate used is the day's rate for that purity - ask which benchmark (IBJA) they follow.
8. The exchange rate offered for your old gold is written down before you commit.
9. You have the GST breakup (3% on metal, 5% on making).
10. There is a clear, written buy-back or exchange policy.
11. You paid by a traceable method (UPI, card, cheque) - not large cash.
12. You kept the original bill, the tag and the packaging - you need them to sell or exchange later.

Why traceable payment matters
Income-tax law bars cash transactions above Rs. 2 lakh in a day for one purchase or occasion (Section 269ST), and PAN is mandatory for any gold purchase of Rs. 2 lakh or more per transaction, whatever the payment mode (Rule 114B). Paying by UPI or card keeps you clearly inside the rules and gives you a record if you ever need to prove the cost.

9. Old-gold exchange - the maths and the tax trap

Exchanging old gold for new is one of the most common ways families buy this season, and it is where hidden money is made - and lost. Understand both the arithmetic and the tax.

How the exchange arithmetic works

The shop values your old gold at its own rate (usually a little below the buying rate, after a purity test), then sells you the new piece at the selling rate plus making charges and GST. Because the two rates differ and a purity test is applied, the exchange is never a straight swap. Ask for both rates in writing - your old gold's rate and the new gold's rate - and the purity the shop has assigned to your old metal.

The tax trap: exchange can be a taxable transfer

This is the part almost nobody explains. Selling old gold, or exchanging it for new jewellery even without cash, can count as a 'transfer' and trigger capital-gains tax. If you held the old gold for more than 24 months, the gain is long-term and taxed at 12.5% without indexation; if less, it is short-term and taxed at your slab rate. The good news: for inherited or gifted gold, the holding period and cost of the original owner carry over, so ancestral jewellery is usually long-term.

One exception worth knowing
Melting and remaking your own gold into a new ornament, without transferring it to another person, is generally treated as remodelling, not a taxable transfer - but you should keep records showing it is the same gold. The moment ownership passes to the jeweller in an exchange, the transfer rules can apply.

Practical rules for exchange

- Get your old gold's purity and weight verified and written down before you agree to anything.
- Ask for both rates (old-gold rate and new-gold rate) on the same sheet of paper.
- Keep the original purchase bill if you have it; if not, keep the exchange invoice - it becomes your new cost record.
- Remember that an exchange is a transfer for tax purposes - factor the possible capital gain into your decision.

10. Digital gold - the SEBI warning and the honest costs

Digital gold is the easiest route and the least protected. Used in small amounts through a platform you trust, it is convenient. Used as a place for serious money, it carries risks that physical or ETF gold do not.

What the regulator actually said

SEBI has publicly cautioned that digital gold and e-gold products sold by online platforms are neither notified as securities nor regulated as commodity derivatives. In plain words: the investor-protection framework that covers ETFs does not apply to them. You are relying on the platform and its vaulting partner, not on a market regulator.

The costs that are easy to miss

Cost	What it looks like
Buy-sell spread	The sell price is typically 2-5% below the buy price - a cost you feel only when you sell
GST	3% on every purchase, added on top of the price you see
Storage	Often free for the first few years, then a small annual charge
Physical delivery	A charge (often Rs. 100-300 plus GST) if you convert to coins or bars
Counterparty risk	If the platform or vaulting partner fails, your recourse is limited

When digital gold is fine - and when it is not
Fine: small, regular top-ups you plan to convert or sell soon, on a platform you trust. Not fine: large sums, money you cannot afford to lose, or any amount you would be upset to find trapped. For serious amounts, use a gold ETF or EGR instead.

11. Gold ETFs and funds - how to buy and what they cost

For pure investment gold, the ETF is the cleanest route in India. It is regulated, liquid, cheap to hold and needs no locker. Here is exactly how it works.

How to buy a gold ETF

1. Open a demat and trading account with a SEBI-registered broker (most people already have one).
2. Search the gold ETF you want by its NSE/BSE symbol - each unit usually tracks about one gram.
3. Buy during market hours like any share; settlement is quick (T+1).
4. Compare the expense ratio across funds - it is deducted from the NAV and quietly reduces your return.
5. Check liquidity: a thinly traded ETF can trade above or below the true value of its gold.

Gold mutual funds (fund of funds)

If you do not have a demat account, a gold fund-of-funds gives you the same exposure through the mutual-fund route, and lets you run a SIP from a small monthly amount. The convenience costs you a second layer of fees, because the fund invests in an underlying gold ETF. Check the total expense ratio before you commit.

	Gold ETF	Gold fund (FoF)	Digital gold
Regulated by	SEBI	SEBI (AMFI)	Not regulated as a security
Demat needed	Yes	No	No
Typical annual cost	Low expense ratio	Fund fee + underlying ETF fee	Spread + GST + possible storage
Minimum	About 1 unit	SIP from a few hundred rupees	As low as a few rupees
Sell speed	Seconds, during market hours	Same day, at NAV	Immediate, on the platform
Take physical delivery	No	No	Sometimes, for a fee

How much gold should you hold?
Many advisers suggest keeping precious metals to roughly 5-10% of a long-term portfolio, and treating that as a diversifier rather than a get-rich route. Within that, tilt most of it to gold and only a small satellite to silver. Rebalance when the slice grows well beyond your target.

12. Silver - the volatile twin

Silver earned its reputation in 2026. It surged more than 170% over a year, then gave back a large part of the gain within months. If you buy silver, buy it with your eyes open.

Why silver moves so hard

- It is a small market, so the same money moves it further than it moves gold.
- Industrial demand - solar, electronics, EVs - ties it to the economic cycle.
- Supply is concentrated, so supply scares hit the price fast.
- Retail momentum money piles in late and exits fast, exaggerating both the top and the fall.

How to buy silver in India

There is no everyday silver-jewellery investment market the way there is for gold. The practical routes are silver coins and bars (physical, bulky, with storage and GST costs) and silver ETFs (SEBI-regulated, liquid, no storage). Silver ETF units can diverge from the spot price when trading is thin, so check the fund's size and liquidity before buying, and prefer a large, well-traded fund.

	Gold	Silver
Where it belongs	Core diversifier (5-10% of a portfolio)	Small satellite only
Best investment form	ETF, EGR, gold fund	Silver ETF
Storage burden (physical)	Manageable	Bulky and heavy for the same value
Behaviour in a crash	Usually more resilient	Falls harder and faster

A caution, not a forecast
This playbook does not predict silver's next move and does not recommend a large position in it. The point is simply that silver is not 'cheaper gold'. Treat any silver you buy as money you can afford to see halve.

13. Tax on gold and silver for FY 2026-27

Tax is where careful buyers gain an edge over careless ones. Here is the whole picture for the current financial year. (General information, not tax advice - for your own situation, consult a chartered accountant.)

When you buy

What you buy	GST at purchase	Other at purchase
Physical gold / jewellery	3% on metal; 5% on making charges	Hallmarking charge (small); PAN if Rs. 2 lakh or more
Digital gold	3%	Platform spread
Gold / silver ETF	None	Brokerage; small expense ratio
Gold / silver fund (FoF)	None	Fund expenses
Imported gold (baggage)	3% IGST where applicable	Customs duty rules apply; duty is 15% on commercial imports

When you sell

What you sold	Held 24 months or less	Held more than 24 months
Physical gold, jewellery, coins, digital gold	Short-term - taxed at your slab rate	Long-term - 12.5% without indexation
Gold ETF	Held 12 months or less: slab rate	Held more than 12 months: 12.5% without indexation
Gold mutual fund (FoF)	Slab rate	12.5% without indexation
Inherited / gifted gold	Holding period of the previous owner applies	Often long-term, so 12.5%

Two notes that change the answer. First, for gold bought on or after 23 July 2024, long-term gains are taxed at 12.5% with no indexation; the old 20%-with-indexation option is gone for most cases. Second, jewellery and ornaments are treated as capital assets even when they are for personal use, so a sale can be taxable even though it never felt like an investment.

Gifts, inheritance and the Rs. 50,000 line

- Gold received as a gift from a specified relative is not taxed at receipt; it is taxed only when later sold.
- A gift of gold from a non-relative is taxable as income from other sources if its value exceeds Rs. 50,000 in a year.
- Inherited gold is not taxed at inheritance, but is taxed when you sell it - using the original owner's cost and holding period.
- Section 54F can, in some cases, shelter long-term gains from gold if you invest the sale proceeds in a residential house.

The record that saves you money
Keep every gold purchase bill. Without it, proving your cost and holding period when you sell becomes guesswork - and guesswork usually costs you tax. If a bill is lost, keep any alternate proof: an insurance paper, a valuation report, or a bank record of the payment.

14. The 2026 rule changes that moved the goalposts

Three changes in 2026 reshaped the gold market. If you are working from advice written before them, you are working from a different market.

1. Import duty more than doubled, to 15%

On 13 May 2026 the government raised the effective import duty on gold and silver to 15% - a 10% basic customs duty plus a 5% Agriculture Infrastructure and Development Cess - reversing the cut to 6% made in July 2024. The stated aim was to curb imports and support the rupee. For you, it means the domestic price carries a much heavier tax wedge than it did a year ago.

2. Sovereign Gold Bonds were not issued again

No new tranche has been issued since February 2024, and none is scheduled. Existing bonds still pay their 2.5% interest and still trade on the exchanges. Budget 2026 narrowed the tax benefit: the capital-gains exemption at the eight-year maturity now applies only to bonds bought in the original issue and held to maturity. Buy them in the secondary market and you are taxed like any other capital asset.

3. The market's centre of gravity shifted to investment

For the first time, investment demand for gold in India overtook jewellery demand. Gold ETFs drew record inflows, and digital gold purchases climbed sharply. Families are buying less jewellery by weight and more coins, bars and funds. The behaviour change is the clearest signal of where the smart money has moved.

What to do about it
Do not plan around a tax-free gold bond that no longer exists. Compare the routes on their real, current costs - duty, GST, making charges, spread and tax - and pick the one that fits your purpose today.

15. Scams and traps - ten red flags

Gold attracts fraud because it is valuable, portable and hard to trace. These ten red flags cover almost every scam doing the rounds.

1. A price far below the day's IBJA benchmark - no genuine seller undercuts the market by a lot.
2. No BIS hallmark on a piece above 2 grams, or a hallmark you are told 'cannot be checked'.
3. 'Digital gold' promises of fixed returns, guaranteed interest, or a 'gold scheme' that pays cash - regulated gold pays no such return.
4. A shop that refuses to put net weight, purity and making charges on the bill.
5. A high 'wastage' or 'stone' charge that appears only at the billing counter.
6. Door-to-door or social-media 'gold investment' schemes offering monthly payouts - almost always Ponzi-like.
7. Pressure to pay in large cash, or a request to split one purchase into several bills to dodge the Rs. 2 lakh limit.
8. A buy-back 'guarantee' that is verbal, not written into the bill.
9. 'Ready to wear' gold from an unregistered seller with no address and no GST invoice.
10. A courier or online seller of coins or bars who will not share the refinery's name or a tamper-proof pack.

The one check that stops most scams
Verify the HUID in the free BIS Care app and keep a proper invoice. A real seller has nothing to fear from either. A fake one will have an excuse for both.

16. Selling gold and silver - where and at what cost

Selling is the other half of the decision, and it is where unprepared sellers lose the most. Know your options and the deductions before you walk in.

Where you sell	Typical deduction	Best for
The jeweller you bought from	Lowest - a loyalty buy-back	Pieces with a clean, recent bill
A large organised jeweller	A few % off the rate, purity tested	Any hallmarked jewellery
A bank (for coins it sold)	As per that bank's buy-back policy	Bank-sealed coins with the original invoice
A licensed bullion dealer	A small spread	Coins and bars
An online gold-sale platform	A spread plus charges	Convenience, small quantities
An unregistered local buyer	Often the highest - avoid	Nothing; the risk is not worth it

(Note: for coins, the cleanest route is usually the bank or dealer that sold them, with the original invoice and sealed pack intact.)

Getting the best price

- Sell hallmarked pieces with their original bill - purity you can prove is purity you get paid for.
- Get quotes from at least three buyers before you commit.
- Ask for the rate and the deduction in writing, not just a final number.
- Do not melt jewellery before selling; a buyer who can identify the piece pays more than one pricing scrap.
- Keep the sale invoice - you need it to compute and prove your capital gain.

Remember the tax
A sale is a taxable transfer. If you held the gold for more than 24 months, the gain is long-term at 12.5% without indexation; otherwise it is added to your income at your slab rate. For inherited gold, the previous owner's holding period and cost apply - keep those records.

17. The Dhanteras 2026 decision framework

Dhanteras falls on Friday, 6 November 2026, with Diwali on Sunday, 8 November. The puja muhurat in Delhi runs from about 6:02 pm to 7:57 pm, and varies by city. Here is how to decide what to buy, in the order the decision should actually be made.

Step 1: Name the purpose

- To wear or gift - jewellery. Accept the making charge.
- To invest - an ETF, an EGR or a gold fund. Not jewellery.
- To mark the occasion with a small, symbolic purchase - a hallmarked coin.

Step 2: Set a rupee budget, not a gram target

At these prices, thinking in grams pushes you to spend more than you meant to. Fix the rupees first (say Rs. 50,000), then see how many grams that buys at the day's rate. This is exactly what Indian households have started doing - steady rupee budgets, fewer grams.

Step 3: Compare the all-in cost of each route

Route	Metal + duty + GST	Making / spread	Storage / effort	Sell-back ease
22K jewellery	Included in rate + 3% GST	8-25% making (+5% GST)	Your locker	Hard - deduction applies
24K coin / bar	Included in rate + 3% GST	A few % minting	Your locker	Easy at a dealer
Gold ETF	Market rate, no GST	Low expense ratio	None	Seconds on the exchange
Gold fund (SIP)	Market rate, no GST	Fund + ETF fees	None	Same day at NAV
Digital gold	Market rate + 3% GST	2-5% spread	None	Immediate on the platform

Step 4: Buy the dip, not the day

Prices move daily, and nobody knows the Dhanteras rate in advance. If you are investing, split the purchase - buy part now and part on Dhanteras if that matters to you, or simply run a monthly SIP so the timing looks after itself. If you are buying to wear, buy when you are ready, at a rate you have checked against the IBJA benchmark.

The countdown from today to Dhanteras

When	What to do
Now to 25 October	Fix your budget and purpose. Watch the daily rate for a week so you know what 'normal' looks like.
26-31 October	Shortlist the shop or the ETF. For jewellery, visit and get quotes in writing. Open or check your demat account.
1-4 November	Confirm the day's rate. If exchanging old gold, get purity and both rates written down.
5 November (Dhanteras eve)	Do the paperwork - PAN, payment method, hallmarks to verify.
6 November (Dhanteras)	Buy. Verify the HUID, read the bill, pay by a traceable method, keep everything.

When	What to do
After 6 November	File the bill with your documents. If you sold or exchanged, note the date and cost for tax.

The honest bottom line for Dhanteras 2026
Buy what you will actually use or hold. Check the hallmark. Read the bill. Compare the all-in cost. And keep the invoice - it protects you at both the tax desk and the resale counter.

18. Three worked budgets - Rs. 50,000, Rs. 2 lakh, Rs. 10 lakh

Three families, three goals, three right answers. Figures use an early-October 2026 benchmark of about Rs. 13,570 per gram for 22-carat and about Rs. 14,814 per gram for 24-carat, before GST.

Rs. 50,000 - a young professional starting to save

Goal: build a gold habit without a locker. Route: a gold fund SIP of Rs. 4,000-5,000 a month, or a single ETF purchase. Why: no making charge, no storage risk, easy to sell. At about Rs. 1,480 per gram for 24-carat (ETF value), Rs. 50,000 buys roughly 33-34 grams over time - and a SIP smooths the entry.

Rs. 2 lakh - a family buying for a wedding in 2027

Goal: jewellery to wear and gift. Route: hallmarked 22-carat, bought over two or three visits to average the rate. At about Rs. 13,570 per gram, Rs. 2 lakh of metal is roughly 14.7 grams - so expect about 13-14 grams once making charge and GST are added. Negotiate a flat per-gram making charge and nil wastage.

Item	Amount
Metal (about 13 g at Rs. 13,570/g)	Rs. 1,76,410
Making charge at 10% (negotiated)	Rs. 17,641
GST (3% metal + 5% making)	Rs. 5,292 + Rs. 882 = Rs. 6,174
Approximate total	About Rs. 2,00,225

Rs. 10 lakh - a family parking a lump sum for three to five years

Goal: a store of value that is safe and liquid. Route: mostly a gold ETF or EGR (say Rs. 8 lakh), with a small physical component (say Rs. 2 lakh in hallmarked 24-carat coins) for the sense of ownership and any gifting. Why: the ETF keeps costs and storage risk low and sells instantly; the coins cover the tradition. Keep silver, if any, to a small satellite position only.

Rs. 1 lakh - building a habit while prices are high

Goal: steady accumulation without timing the market. Route: a gold fund SIP of Rs. 5,000 a month plus a one-off Rs. 40,000 ETF purchase, kept as a long-term slice of the portfolio. Why: when gold has just run up and then fallen, no single day is obviously 'right' - spreading the entry removes that decision. The whole position stays liquid and costs only a small annual fee, with no locker and no making charge.

The pattern across all four
The bigger the sum and the longer the horizon, the more the answer moves away from jewellery and towards regulated, low-cost, liquid forms. The smaller the sum and the shorter the horizon, the more the answer is simply 'buy the right thing and keep the bill'.

19. The 30-minute buyer's checklist and quick card

Print this page or keep it on your phone. It is the whole playbook in one place.

Before you leave home

- Check today's IBJA benchmark rate for the purity you want.
- Fix your rupee budget (not a gram target).
- Decide the purpose: wear / gift / invest.

At the counter

- Ask the per-gram rate for the exact purity, before making charges.
- Ask whether the making charge is a percentage or a flat per-gram rate.
- Refuse wastage, or have it written down and agreed.
- Verify the HUID of each piece above 2 grams in the BIS Care app.
- Confirm the GST breakup (3% metal, 5% making).
- Get both rates in writing if you are exchanging old gold.

Before you pay

- The bill shows net weight, purity, making charge and hallmarking charge.
- You are paying by UPI, card or cheque - not large cash.
- PAN is provided if the purchase is Rs. 2 lakh or more.
- You keep the bill, the tag and the packaging.

Quick-reference card

Fact	Figure (October 2026)
24-carat (999) gold	About Rs. 1.48-1.50 lakh per 10 g
22-carat (916) gold	About Rs. 1.35-1.37 lakh per 10 g
Silver (999)	About Rs. 2.2 lakh per kg
Import duty (gold and silver)	15% since 13 May 2026
GST	3% on metal; 5% on making charges
Mandatory hallmarking	392 districts; verify HUID in the BIS Care app
PAN required	Gold purchase of Rs. 2 lakh or more
Cash limit	Rs. 2 lakh per day, per purchase (Section 269ST)
Long-term capital gains	12.5% after 24 months (12 months for gold ETFs)
New Sovereign Gold Bonds	None issued since February 2024

The five numbers to write down before you buy

Whatever you are buying, put these five on one sheet of paper. If you cannot fill all five, you are not ready to pay.

1. The day's rate for the exact purity you want (from IBJA or the shop's board).
2. The making charge - percentage or flat per gram - and whether wastage is being added.
3. The GST breakup (3% on metal, 5% on making).
4. The total you will actually pay, and what that works out to per gram.
5. The resale or exchange rate the shop will offer you later.

Six costly mistakes that are not scams

- Buying jewellery and calling it an investment - the making charge never comes back.
- Ignoring the day's benchmark rate and accepting the shop's number on trust.
- Paying a percentage making charge when a flat per-gram rate would be cheaper.
- Accepting a 'wastage' charge that no longer reflects how jewellery is made.
- Not checking the HUID, then discovering a purity problem with no proof.
- Buying a large quantity of silver because it 'looks cheap' next to gold.

20. Your questions answered

Is gold a good investment right now?

Nobody can promise a direction, and this playbook does not try to. What can be said is that gold has been a diversifier rather than a get-rich asset, that many advisers suggest keeping it to roughly 5-10% of a portfolio, and that how you buy it - ETF versus jewellery - matters more to your outcome than the day you pick.

Should I buy gold jewellery or an ETF?

If you will wear or gift it, jewellery. If you want your money to grow, an ETF or a gold fund. Jewellery carries making charges and a resale deduction that quietly reduce your return.

Can I still buy Sovereign Gold Bonds?

Not from a new issue - none has been issued since February 2024. Existing bonds still trade on the exchanges, but Budget 2026 changed the tax treatment for secondary-market buyers.

Is digital gold safe?

It is convenient but not a regulated security. SEBI has cautioned that the usual investor protections do not apply, and there are spread, GST and counterparty risks. Use it in small amounts, if at all.

What is the HUID and why does it matter?

It is the six-digit unique ID on a hallmarked piece. You can verify it in the free BIS Care app to see the jeweller's registration, the article type and its weight. If a piece is below its declared purity, you can claim twice the shortfall plus testing charges.

How much making charge should I pay?

Commonly 8-25% of the metal value. Machine-made and light designs sit at the low end. A flat per-gram rate is often cheaper than a percentage, and wastage should be nil.

How is gold taxed when I sell?

Held more than 24 months: long-term capital gains at 12.5% without indexation. Held 24 months or less: added to your income and taxed at your slab rate. Gold ETFs qualify for long-term treatment after 12 months.

Do I need PAN to buy gold?

Yes, for any purchase of Rs. 2 lakh or more per transaction, whatever the payment method. Cash transactions above Rs. 2 lakh in a day are not allowed.

Is silver a good buy?

Only as a small satellite. Silver is far more volatile than gold and fell sharply after its 2026 record. If you buy it, use a silver ETF and keep the position small.

Is this financial advice?

No. It is a general information guide that explains the routes, the rules and the costs in plain English. For your own money, consult a SEBI-registered adviser; for tax, a chartered accountant.

Appendix A - Glossary of gold and silver terms

The words that appear on every gold bill, app and brochure, in plain English.

Term	What it means
Carat (K)	The purity of gold by proportion: 24K is purest (995), 22K is 916, 18K is 750.
Fineness	The same idea in parts per thousand - 916 means 916 parts gold per 1,000.
Hallmark	The official BIS mark proving purity: the logo, the carat/fineness and the HUID.
HUID	The six-digit unique ID on a hallmarked piece; verify it in the BIS Care app.
AHC	Assaying and Hallmarking Centre - where BIS tests and marks the gold.
Assay	The test that determines a piece's actual purity.
Making charge	The fee for turning gold into a shape - 8-25% of the metal value.
Wastage	An old charge for metal lost in crafting; on modern pieces it should be nil.
Resale deduction	The amount a buyer knocks off the rate when you sell back.
Buy-back	A seller's promise to repurchase, usually at a defined deduction.
IBJA	India Bullion and Jewellers Association - publishes the benchmark daily rate.
MCX	Multi Commodity Exchange - where gold and silver futures trade in India.
ETF	Exchange-traded fund - a listed fund that holds physical gold in vaults.
NAV	Net asset value - the true per-unit value of a fund.
iNAV	Indicative NAV - a live estimate of an ETF's fair value during trading.
Expense ratio	A fund's annual fee, deducted quietly from your return.
Fund of funds	A mutual fund that invests in an underlying gold ETF.
SIP	Systematic investment plan - a fixed amount invested at regular intervals.
Digital gold	Fractional gold bought on an app and vaulted for you; not a regulated security.
EGR	Electronic Gold Receipt - SEBI-regulated vaulted gold that trades on exchanges.
SGB	Sovereign Gold Bond - RBI-issued gold-linked bond; no new issues since February 2024.
GMS	Gold Monetisation Scheme - now only short-term bank deposits of 1-3 years.
CPTC	Collection and Purity Testing Centre - where GMS deposits are tested.
Spread	The gap between the buy and sell price - a real cost on digital gold.
Import parity	The landed cost of imported gold; domestic prices trade near or below it.
BCD / AIDC	Basic Customs Duty and Agriculture Infrastructure and Development Cess - together 15% on gold and silver.
LTCG / STCG	Long- and short-term capital gains - taxed at 12.5% or at your slab rate.
Rule 114B	The rule requiring PAN for gold purchases of Rs. 2 lakh or more.
Section 269ST	The rule barring cash transactions above Rs. 2 lakh.

Appendix B - Twelve myths, corrected

These are the beliefs that cost Indian buyers the most money. Each one is wrong, and here is why.

Myth: Gold always goes up.

No. Gold fell roughly 26% from its January 2026 record to October 2026. It is a diversifier, not a guarantee.

Myth: 24-carat is the best gold to buy.

24K is the purest but the softest. For jewellery you wear, 22K is the practical standard.

Myth: Sovereign Gold Bonds are the tax-free way to buy gold.

No new bonds have been issued since February 2024, and Budget 2026 changed the tax for secondary-market buyers.

Myth: Digital gold is as safe as a gold ETF.

It is not. SEBI has cautioned that digital gold is neither a notified security nor a regulated commodity derivative.

Myth: The making charge comes back when I sell.

It does not. Making charges are never returned, and a resale deduction is applied on top.

Myth: I can buy any amount of gold in cash.

You cannot. Section 269ST bars cash above Rs. 2 lakh in a day, and PAN is required from Rs. 2 lakh per transaction.

Myth: Hallmarking only happens at big showrooms.

It is mandatory for gold jewellery above 2 grams in 392 districts - for small jewellers too.

Myth: Silver is just cheap gold.

Silver is half industrial and far more volatile; in 2026 it gave back more than half its record gain.

Myth: Gold jewellery is an investment.

It is a purchase. Buy the ETF or the fund for growth, and the jewellery to wear.

Myth: I do not need to keep the bill.

You do - for a fair resale price and to prove your cost and holding period for tax.

Myth: Idle gold in a locker earns nothing.

The GMS short-term bank deposit can pay a small interest on it, though only about 0.5-0.6% a year.

Myth: Buying on Dhanteras guarantees a good price.

Dhanteras is a tradition, not a discount. The rate on 6 November 2026 will be whatever the market says.

Sources

Every figure and rule in this playbook was drawn from an official or primary source, current as of October 2026. Prices move daily - check the day's rate before you buy.

- Bureau of Indian Standards - Hallmarking scheme, Mandatory Hallmarking Order and amendments (2020-2026), Jeweller and Consumer FAQs, and the 'Brief on Hallmarking Scheme' updated 1 October 2026.
- Ministry of Finance (Department of Revenue) - Customs Notification No. 15/2026-Customs and related notifications dated 12 May 2026, raising the effective import duty on gold and silver to 15% (effective 13 May 2026).
- Income Tax Department (incometaxindia.gov.in) - Rule 114B (PAN for specified transactions) and the long-term capital gains provisions (12.5% without indexation for transfers on or after 23 July 2024).
- Income-tax Act - Section 269ST (Rs. 2 lakh cash limit) and Section 54F.
- Reserve Bank of India - Gold Monetisation Scheme, 2015 master circular and FAQs; discontinuation of the medium- and long-term deposits from 26 March 2025.
- SEBI - public caution on digital gold and e-gold products (November 2025).
- World Gold Council - India gold market updates and demand trends (2026).
- India Bullion and Jewellers Association (IBJA) - benchmark daily rates for gold and silver (October 2026).
- Reuters, Mint, Business Standard and The Indian Express - reporting on the 2026 duty change, the SGB discontinuation and Budget 2026's tax change, used to confirm the official notifications.

A final word

Gold has been part of Indian family finance for centuries, and it will be long after this season's price is forgotten. Buy it the way you would buy anything valuable: know what you are paying for, keep the paperwork, and match the form to the purpose. Do that, and Dhanteras 2026 will be a good buy whatever the price does next.

This playbook is general information, not investment, tax or legal advice. It does not recommend any specific security, fund or jeweller. Prices, taxes and rules change; verify the current position before acting, and consult a qualified professional for your own circumstances.